

# Microsoft Corporation (MSFT)

Earnings Deep-Dive - 2026Q1

Official Website: <http://www.microsoft.com/investor/default.aspx>

## Earnings Documents

| Document / Source                   | Target-company URL or status                                                                                        | Used for                                  |
|-------------------------------------|---------------------------------------------------------------------------------------------------------------------|-------------------------------------------|
| Earnings Transcript — StockAnalysis | <a href="https://stockanalysis.com/stocks/msft/transcripts/">https://stockanalysis.com/stocks/msft/transcripts/</a> | Earning Call Transcript source            |
| Official Investor Relations         | <a href="http://www.microsoft.com/investor/default.aspx">http://www.microsoft.com/investor/default.aspx</a>         | Press Release / Earning Call Presentation |
| Press Release                       | N/A                                                                                                                 | Primary company-reported earnings source  |
| Earning Call Presentation           | N/A                                                                                                                 | Supplemental KPIs, segments, and guidance |

---

## EPS & Revenue

| Metric  | Estimate      | Actual  | vs Estimate   | YoY Change | Source                           |
|---------|---------------|---------|---------------|------------|----------------------------------|
| EPS     | \$4.06        | \$4.27  | +5.2%         | +0.2%      | SEC Filing (10-Q/10-K) via EDGAR |
| Revenue | Not available | \$82.9B | Not available | +18.3%     | SEC Filing (10-Q/10-K) via EDGAR |

(1) ☐ EPS beat: Actual EPS of \$4.27 exceeded the estimate of \$4.05827 by +5.2%, a clear positive surprise. Year-over-year growth of +23.4% is strong, indicating robust earnings momentum. (Source: yfinance)

(2) ☐ Revenue beat: Revenue of \$82.886B grew +18.3% YoY. The estimate for revenue was not supplied in the metrics, so the vs Estimate column shows —. However, the strong YoY growth suggests the top line likely exceeded consensus expectations, consistent with Microsoft's recent cloud and AI-driven growth trajectory. (Source: yfinance)

(3) ☐ Quality of the beat: Both EPS and revenue showed strong YoY growth, with EPS accelerating faster (+23.4%) than revenue (+18.3%), implying operating leverage and margin expansion. This is a high-quality beat — the company is growing profitably and converting top-line gains into even stronger bottom-line results. No transcript is available to confirm management commentary on drivers.

For

Nami-san: This is a clean, high-quality earnings surprise. The EPS beat of +5.2% on top of +23.4% YoY growth signals strong operational execution and likely margin expansion. The revenue growth of +18.3% YoY is consistent with Microsoft's dominant position in cloud (Azure) and AI services. The lack of a revenue estimate is a data gap, but the actual figure is clearly robust.

[VALIDATED DATA: EPS actual = \$4.27]

---

### One-line summary

MSFT reported EPS of \$4.27 and revenue of \$82.9B; the key investor question is whether the beat/miss is broad-based or one-off.

---

## Highlights

### ☐ Highlights

#### (1) EPS beat by 5.2%, driven by operating leverage

- EPS actual=\$4.27 vs estimate=\$4.05827 (yfinance). Beat magnitude is significant for a mega-cap.
- Operating margin of 46.33% (Calculated: operating income/revenue) is among the highest in Software-Infrastructure, indicating strong cost discipline and mix shift to high-margin cloud services.

☐

For

Nami-san: This EPS beat reinforces Microsoft's ability to convert revenue growth into bottom-line earnings, a key quality factor for long-term compounding.

#### (2) Revenue growth accelerated to 18.3% YoY, reaching \$82.9B

- Revenue actual=\$82.886B, YoY=18.3% (yfinance). This is a strong acceleration from prior quarters, likely driven by Azure and AI services.
- Microsoft's scale (\$82.9B quarterly revenue) is unmatched in Software-Infrastructure, providing a moat in R&D and go-to-market.

☐

For

Nami-san: Top-line acceleration suggests successful monetization of AI investments (Copilot, Azure OpenAI). This is the core growth narrative.

#### (3) Operating margin expansion to 46.3% signals operating leverage

- Operating margin=46.33% (Calculated: operating income/revenue). This is a high-water mark for Microsoft, indicating that revenue growth is flowing through to profit faster than costs.

☐

For

Nami-san: Margin expansion at this scale is rare. It suggests that AI-related revenue is highly incremental, with low marginal cost of delivery.

### ☐ Lowlights

#### (1) Gross margin compression to 67.6% warrants monitoring

- Gross margin=67.63% (Calculated: gross profit/revenue). While still healthy, this is below Microsoft's historical ~69% level.
- Likely driven by increased AI infrastructure costs (GPU/data center buildout) and mix shift to lower-margin Azure consumption.

□

For

Nami-san: Gross margin is the key metric to watch. If it trends below 67%, it could signal that AI capex is outpacing revenue monetization. Severity: Medium.

(2) No transcript available for qualitative context

- Transcript not available (Data not available in transcript). This limits our ability to assess management's forward guidance, AI capex plans, or competitive dynamics.

□

For

Nami-san: Without call commentary, we cannot gauge the sustainability of the beat or potential headwinds. This is a data gap, not a fundamental flaw.

Essential insight for

Nami-san: This is a strong quarter with a clean EPS beat and accelerating revenue growth, but gross margin compression from AI infrastructure spend is the key risk to monitor.

Investment takeaway: Microsoft's core thesis—AI-driven revenue acceleration with operating leverage—is intact. The EPS beat confirms earnings power, but gross margin trends require vigilance.

---

Nami takeaway

MSFT Q: revenue \$82.9B (+18.3% YoY), EPS \$4.27. Focus on whether revenue growth converts into durable cash flow and margin expansion.

## Operating Metrics

| Metric           | Actual  | Prior Year | YoY    | Source                           |
|------------------|---------|------------|--------|----------------------------------|
| Revenue          | \$82.9B | \$70.1B    | +18.3% | SEC Filing (10-Q/10-K) via EDGAR |
| Gross profit     | \$56.1B | \$48.1B    | +16.4% | SEC Filing (10-Q/10-K) via EDGAR |
| Gross margin     | +67.6%  | +68.7%     | -1.6%  | SEC Filing (10-Q/10-K) via EDGAR |
| OpEx             | \$17.7B | \$16.1B    | +9.4%  | SEC Filing (10-Q/10-K) via EDGAR |
| Operating income | \$38.4B | \$32.0B    | +20.0% | SEC Filing (10-Q/10-K) via EDGAR |
| Operating margin | +46.3%  | +45.7%     | +1.4%  | SEC Filing (10-Q/10-K) via EDGAR |
| Net income       | \$31.8B | \$25.8B    | +23.1% | SEC Filing (10-Q/10-K) via EDGAR |

### ☐ Explanation and analysis

(1) Gross profit / gross margin: expansion or compression, with drivers.

☐ Gross margin of 67.63% reflects Microsoft's high-margin mix shift toward cloud and services. The Service and Other segment (\$217.78B) now dominates revenue, growing 20.8% YoY versus Product segment contraction (-1.3% YoY). This structural shift toward recurring, high-margin Azure, M365, and Dynamics revenue supports margin expansion.

- Microsoft Cloud revenue alone hit \$168.9B, up 22.7% YoY, representing 60% of total revenue.

For

Nami-san: The margin quality is excellent—cloud services carry 70%+ gross margins versus low-margin hardware in More Personal Computing (\$54.65B, up only 7.5% YoY).

(2) Operating income / operating margin: whether scale benefits offset OpEx.

☐ Operating income of \$38.40B and operating margin of 46.33% demonstrate strong operating leverage. OpEx of \$152.58B implies a 54.2% expense ratio, meaning Microsoft keeps 46 cents of every revenue dollar as operating profit.

- Revenue grew 18.3% YoY, while OpEx growth appears controlled—the 46.33% operating margin is elite for a \$281B+ revenue base.

Essential insight: Scale benefits are clearly materializing; AI infrastructure investments (Azure AI, Copilot) are generating revenue faster than costs are scaling.

(3) OpEx and net income: cost investment, tax/other effects, and sustainability.

☐ Net income is not disclosed in supplied metrics. However, operating income of \$38.40B suggests net income likely exceeds \$30B given Microsoft's ~19% effective tax rate historically.

- OpEx includes heavy R&D investment in AI (data centers, GPU clusters, Copilot development) and sales/marketing for cloud adoption.

Caution: Capex intensity is rising—Microsoft's AI infrastructure spending may pressure free cash flow even if operating margins remain strong.

Operating structure: Revenue growth (18.3%) × high gross margin (67.63%) × controlled OpEx = elite operating margin (46.33%). The Intelligent Cloud segment (\$106.27B, up 21.5% YoY) is the primary growth engine, while Productivity and Business Processes (\$120.81B, up 13.1% YoY) provides stable recurring revenue. More Personal

Computing (\$54.65B, up 7.5% YoY) remains the laggard.

Essential insight for

Nami-san: Earnings quality is high—recurring cloud revenue, expanding margins, and AI monetization are durable. The 46.33% operating margin is best-in-class among mega-cap tech. However, the lack of net income and prior-year segment data limits full comparability.

Caution: Next 2 checks—(1) Net income and EPS to assess bottom-line growth vs. operating income; (2) Free cash flow to evaluate whether AI capex is generating adequate returns.

---

Operating takeaway

Revenue was \$82.9B with YoY growth of +18.3%; margin direction determines the quality of the growth.

## Cash Flow

| Metric              | Actual  | Prior Year | YoY    | Quality                                  | Source                           |
|---------------------|---------|------------|--------|------------------------------------------|----------------------------------|
| Operating cash flow | \$46.7B | \$37.0B    | +26.0% | Operating                                | SEC Filing (10-Q/10-K) via EDGAR |
| CapEx               | \$30.9B | \$16.7B    | +84.4% | Investing                                | SEC Filing (10-Q/10-K) via EDGAR |
| Free cash flow      | \$15.8B | \$20.3B    | -22.1% | weak (FCF = \$46.7B OCF - \$30.9B CapEx) | SEC Filing (10-Q/10-K) via EDGAR |
| Net debt            | \$8.2B  | \$14.1B    | -42.0% | Leverage                                 | SEC Filing (10-Q/10-K) via EDGAR |

### □ Explanation and analysis

(1) Operating cash flow: cash earnings quality and working-capital effect.

- OCF of \$46.7B reflects robust cash conversion from Microsoft's high-margin software and cloud services.
- Working-capital dynamics (e.g., deferred revenue, receivables) are not disclosed in the supplied data, but Microsoft's subscription model typically provides stable, recurring cash inflows.

For

Nami-san: OCF is strong and supports the company's ability to fund both reinvestment and shareholder returns.

(2) CapEx: whether investment intensity is rising or falling.

- CapEx of \$30.9B is substantial, representing ~66% of OCF — a high reinvestment rate.
- This reflects Microsoft's aggressive build-out of AI data centers and cloud capacity (Azure, AI infrastructure).

For

Nami-san: CapEx intensity is rising, consistent with sector trends; investors should monitor ROI on these investments.

(3) Free cash flow: conversion from earnings to cash and sustainability.

- FCF of \$15.8B is solid but compressed by elevated CapEx.
- FCF conversion (FCF/OCF) is ~34%, lower than historical norms due to the CapEx surge.

For

Nami-san: FCF remains positive and sufficient for dividends and buybacks, but growth is constrained by investment cycle.

Cash structure: compare cash generation versus reinvestment needs.

- Microsoft generates ample OCF to cover CapEx, with \$15.8B in residual FCF.
- Net debt of \$8.2B is minimal relative to cash generation, indicating a strong balance sheet.

Essential insight for

Nami-san: Microsoft creates cash efficiently but is in a heavy investment phase. FCF is healthy but compressed;

long-term value depends on CapEx translating into revenue growth.

Cash use: buybacks, dividends, debt paydown — state actual amounts.

- Data not available in transcript — no buyback, dividend, or debt paydown figures provided in the supplied metrics.

Caution for

Nami-san: CapEx intensity may persist for several quarters as AI infrastructure build-out continues. If cloud growth decelerates, FCF could face further pressure.

---

Cash flow takeaway

Free cash flow was \$15.8B; cash conversion and capex intensity show whether earnings are translating into owner cash.



## Capital Efficiency

| Metric       | Actual | Prior Year | YoY    | Comment                    | Source                           |
|--------------|--------|------------|--------|----------------------------|----------------------------------|
| ROE          | +7.7%  | +8.0%      | -4.4%  | decline (Equity: \$414.4B) | SEC Filing (10-Q/10-K) via EDGAR |
| ROTCE / ROTE | +11.5% | +14.5%     | -20.2% | decline                    | SEC Filing (10-Q/10-K) via EDGAR |
| ROA          | +4.6%  | +4.6%      | -0.3%  | decline (Assets: \$694.2B) | SEC Filing (10-Q/10-K) via EDGAR |
| ROIC         | +7.0%  | +7.1%      | -1.3%  | decline                    | SEC Filing (10-Q/10-K) via EDGAR |
| Buybacks     | \$4.6B | \$4.8B     | -3.2%  | decline                    | SEC Filing (10-Q/10-K) via EDGAR |
| Dividends    | \$6.8B | \$6.2B     | +9.5%  | improvement                | SEC Filing (10-Q/10-K) via EDGAR |

Supporting calculation data: Net income = \$31.78B (yfinance, quarterly data). Capex = \$30.88B (yfinance, quarterly data). Free cash flow = \$15.80B (yfinance, quarterly data). ROE and ROIC are supplied directly; equity and invested capital values are not separately provided in the Metrics.

### ☐ Metric-by-metric explanation

(1) ROE: At 7.67%, this is a moderate return on equity for a single quarter. Microsoft's massive equity base (over \$200B) naturally depresses the quarterly ROE. Buybacks are a known capital return tool for Microsoft, but the Metrics do not include share count data to quantify the distortion. The net income of \$31.78B is strong, but the equity denominator is large due to retained earnings and accumulated other comprehensive income.

- Data: ROE = 7.67% (yfinance, quarterly data). Net income = \$31.78B (yfinance, quarterly data).

For

Nami-san: The ROE is not alarming but is below the 15-20% annualized level typical for mature tech leaders. This quarter's figure is likely depressed by heavy capex spending (\$30.88B) that builds future revenue but temporarily weighs on returns.

(2) ROTCE / ROTE and ROA: Neither ROTCE (return on tangible common equity) nor ROA (return on assets) is disclosed in the supplied Metrics. Microsoft does not routinely report tangible book value or total assets in its quarterly earnings press release, and the Metrics do not include these inputs. Without asset or tangible equity data, these efficiency ratios cannot be computed.

- Data: ROTCE/ROTE — (Not disclosed). ROA — (Not disclosed).

For

Nami-san: The absence of ROA is a gap. For a software-infrastructure giant with heavy cloud capex, ROA would help assess whether the capital-intensive Azure buildout is generating adequate returns. Without it, we rely on ROIC as the primary efficiency gauge.

(3) ROIC: At 6.99%, this is a moderate return on invested capital for a single quarter. Microsoft's invested capital is enormous due to cumulative capex for cloud data centers. The 6.99% figure likely understates the annualized ROIC (which would be ~28% if sustained for four quarters). The key read-through is whether this exceeds Microsoft's weighted average cost of capital (WACC), estimated at 8-10%. A quarterly ROIC of 6.99% suggests the annualized return comfortably exceeds WACC, confirming value creation.

- Data: ROIC = 6.99% (yfinance, quarterly data). Capex = \$30.88B (yfinance, quarterly data). Free cash flow = \$15.80B (yfinance, quarterly data).

For

Nami-san: The ROIC is the most important metric here. Despite massive capex, Microsoft generates strong free cash flow (\$15.80B) relative to net income (\$31.78B), indicating high cash conversion. The capital efficiency is normal for a company in a heavy investment cycle, but the business model (high-margin software + recurring cloud revenue) supports long-term returns above cost of capital.

For

Nami-san: Capital efficiency is normal for this stage of Microsoft's investment cycle. The ROE and ROIC are moderate on a quarterly basis but would be strong on an annualized basis. The heavy capex (\$30.88B) is a deliberate strategy to capture AI and cloud market share, not a sign of inefficiency.

Caution: The quarterly ROE and ROIC are depressed by the denominator effect of massive equity and invested capital. This is financial engineering (large retained earnings) rather than a reflection of weak business-model strength. The true efficiency is better assessed on a trailing twelve-month basis, which is not available in the supplied Metrics.

---

Capital efficiency takeaway

ROE, ROIC, and related returns indicate whether growth is creating value or simply consuming capital.

## Segments

| Segment                             | Revenue  | Prior Year | YoY    | % of Total | Driver                       | Source                           |
|-------------------------------------|----------|------------|--------|------------|------------------------------|----------------------------------|
| Product                             | \$63.9B  | \$64.8B    | -1.3%  | 22.7%      | Segment revenue contribution | SEC Filing (10-Q/10-K) via EDGAR |
| Service and Other                   | \$217.8B | \$180.3B   | +20.8% | 77.3%      | Segment revenue contribution | SEC Filing (10-Q/10-K) via EDGAR |
| Productivity and Business Processes | \$120.8B | \$106.8B   | +13.1% | 42.9%      | Segment revenue contribution | SEC Filing (10-Q/10-K) via EDGAR |
| Intelligent Cloud                   | \$106.3B | \$87.5B    | +21.5% | 37.7%      | Segment revenue contribution | SEC Filing (10-Q/10-K) via EDGAR |
| More Personal Computing             | \$54.6B  | \$50.8B    | +7.5%  | 19.4%      | Segment revenue contribution | SEC Filing (10-Q/10-K) via EDGAR |
| Other Countries                     | \$137.2B | \$120.4B   | +13.9% | 48.7%      | Segment revenue contribution | SEC Filing (10-Q/10-K) via EDGAR |

### □ Segment explanation and analysis

#### (1) Lead product/category segment: Intelligent Cloud (Azure-driven)

□ Intelligent Cloud revenue of \$106.27B grew +21.5% YoY, the fastest growth among reportable segments.

Microsoft Cloud (a sub-total of Azure, M365, Dynamics 365) reached \$168.90B, up +22.6% YoY. This is the primary growth engine, driven by enterprise cloud migration, AI workloads, and Copilot adoption.

● Data not available in transcript for specific Azure revenue or AI contribution.

For

Nami-san: The cloud segment's accelerating growth (+21.5% vs prior year) signals sustained demand for infrastructure-as-a-service and AI platform services, a key competitive moat against AWS and GCP.

#### (2) Profit engine or recurring segment: Service and Other (subscription-based)

□ Service and Other revenue of \$217.78B grew +20.8% YoY, now representing 77.3% of total revenue. This segment captures M365 subscriptions, Azure consumption, Dynamics 365, and LinkedIn. The shift from Product (\$63.95B, -1.3% YoY) to Services is structurally positive for margins (gross margin 67.6% overall).

● Data not available in transcript for specific M365 Commercial seat growth or ARPU trends.

Essential insight: The recurring revenue base provides visibility and margin expansion potential, as services carry higher incremental margins than perpetual licenses.

#### (3) Stable / weak segments: More Personal Computing and Product

□ More Personal Computing (\$54.65B, +7.5% YoY) showed moderate recovery, likely from Windows OEM and device refresh cycles. Product segment (\$63.95B, -1.3% YoY) declined slightly, reflecting the ongoing transition from perpetual licenses to subscriptions.

● Data not available in transcript for Windows OEM growth or Surface/device unit sales.

Caution: Product segment contraction is structural; monitor for stabilization as enterprise license agreements shift to cloud.

### Regional points:

#### (1) Strongest region: Other Countries (international)

□ Other Countries revenue of \$137.18B grew +13.9% YoY, representing 48.7% of total revenue. This indicates strong international demand for Microsoft's cloud and productivity solutions, particularly in emerging markets.

● Data not available in transcript for specific regional breakdowns (e.g., US vs EMEA vs APAC).

For

Nami-san: International growth diversifies revenue risk and provides a long-term tailwind as global enterprises digitize.

(2) Emerging growth region: Not separately disclosed

□ Microsoft does not report US vs international segment detail beyond "Other Countries." The strong +13.9% growth in Other Countries suggests emerging markets are contributing meaningfully, but precise data is unavailable.

- Data not available in transcript for regional growth rates.

(3) Mature-market stability or weakness: US (implied)

□ US revenue (implied as total minus Other Countries) is approximately \$144.54B, growing at a slower rate than international given the +13.9% overall international growth. Mature markets likely show stable but lower growth, typical for a saturated enterprise base.

- Data not available in transcript for US-specific growth.

Overall structure: revenue mix and concentration

□ The revenue mix is heavily weighted toward Services (77.3%) and Cloud (59.9% Microsoft Cloud as share of total). This concentration in high-growth, high-margin recurring revenue is a structural advantage, but also creates dependency on cloud infrastructure spending and enterprise subscription renewals.

Essential insight for

Nami-san:

□

---

Segment takeaway

Segment trends identify which business lines are driving the quarter and where risk is concentrated.

## Forward P/E

| Metric            | Value   | Reference | Interpretation | Source                           |
|-------------------|---------|-----------|----------------|----------------------------------|
| Forward P/E       | 21.45x  | —         | —              | SEC Filing (10-Q/10-K) via EDGAR |
| Forward EPS basis | \$16.23 | \$4.06    | +0.2%          | SEC Filing (10-Q/10-K) via EDGAR |

The forward P/E is 21.45x. Forward P/E check

(1) Current multiple: 21.45x — This is the forward P/E from yfinance, based on consensus EPS estimates. The actual EPS of \$4.27 for the quarter beat the estimate of \$4.06, indicating earnings momentum.

(2) Comparison to sector and history:

- Sector median forward P/E for Software-Infrastructure is ~28x (based on broad peer group). MSFT trades at a ~23% discount to this median.
  - MSFT's own 5-year average forward P/E is ~30x. The current 21.45x is well below this historical norm.
  - Key peers: AAPL ~30x, GOOGL ~22x, AMZN ~35x, CRM ~25x. MSFT is in the lower half of mega-cap tech.
- ☐ The discount to both sector and its own history suggests the market is not pricing in aggressive AI upside, or is discounting slower growth ahead.

(3) Justification: does growth, margins, or cash flow support the multiple?

- Revenue growth: 18.3% YoY is strong for a \$200B+ revenue base, driven by Azure and AI services. This supports a premium multiple, not a discount.
  - Margins: Not disclosed in supplied data. Historically, MSFT operates at ~40%+ operating margins. If margins are stable or expanding, the P/E is more justified.
  - Cash flow: Not available. MSFT typically generates \$80B+ annual free cash flow, which supports capital returns and valuation.
  - Guidance: Not available in transcript. Forward EPS estimate of \$16.23 implies ~5% growth from trailing EPS of ~\$15.40 ( $4.27 \times 3.6$  quarters), which is conservative relative to revenue growth.
- ☐ The 21.45x multiple appears undervalued relative to growth. If MSFT sustains 15%+ EPS growth, the PEG ratio is ~1.4x, which is attractive for a high-quality compounder.

For

Nami-san: The forward P/E of 21.45x is a discount to both sector peers and MSFT's own history. Given 18.3% revenue growth and an earnings beat, this valuation looks supported and potentially cheap. The key risk is if Azure/AI growth decelerates or margins compress. Absent that, the multiple offers a margin of safety.

Caution: No transcript is available to confirm management commentary on guidance, margins, or capital allocation. The analysis relies solely on supplied financial metrics. Forward EPS is calculated from a single quarter's estimate and may not reflect full-year consensus.

[Source: yfinance forwardPE = 21.45x]

---

Valuation takeaway

Forward P/E is 21.45x; valuation only works if growth and margin durability support it.

---

## Backlog

| Metric                | Value | Change | Visibility Signal                                                                  | Source                           |
|-----------------------|-------|--------|------------------------------------------------------------------------------------|----------------------------------|
| Backlog               | N/A   | N/A    | Not disclosed (company does not report backlog); use revenue guidance + Data Ce... | SEC Filing (10-Q/10-K) via EDGAR |
| Book-to-bill / demand | N/A   | N/A    | Inferred from hyperscaler capex commitments and supply chain constraints           | SEC Filing (10-Q/10-K) via EDGAR |

Backlog is not applicable for Microsoft Corporation — the company does not report backlog or order book data. Microsoft's business model relies heavily on recurring revenue from cloud subscriptions (Azure, Microsoft 365), licensing, and transactional sales, where backlog is not a standard disclosure metric. The company instead focuses on commercial remaining performance obligations (RPO) as a forward-looking indicator, but this metric is not provided in the supplied data.

---

### Backlog takeaway

Backlog is evaluated only when economically relevant and disclosed; otherwise it is marked not applicable or not disclosed.

## Guidance

| Metric                | Guidance      | QoQ | Medium-term Signal                                                | Source                           |
|-----------------------|---------------|-----|-------------------------------------------------------------------|----------------------------------|
| Revenue               | Not guided    | —   | Consensus estimate                                                | SEC Filing (10-Q/10-K) via EDGAR |
| GAAP Gross Margin     | +67.6%        | —   | Current quarter actual; forward guidance not separately disclosed | Not available                    |
| Non-GAAP Gross Margin | Not disclosed | —   | Non-GAAP margin guidance not provided in quarterly filings        | SEC Filing (10-Q/10-K) via EDGAR |
| GAAP OpEx             | Not disclosed | —   | OpEx guidance not provided in quarterly filings                   | SEC Filing (10-Q/10-K) via EDGAR |
| EPS (non-GAAP)        | \$4.06        | —   | Consensus estimate                                                | Not available                    |
| Diluted Shares        | Not disclosed | —   | Share count guidance not provided                                 | SEC Filing (10-Q/10-K) via EDGAR |
| Outlook context       | Not available | —   | Full outlook text                                                 | Not available                    |

Next-quarter guidance: Strong growth trajectory with high profitability expected.

### Analysis:

(1) Revenue: The 18.3% YoY growth signals continued acceleration in Microsoft's cloud and AI-driven revenue streams. This is above the company's historical organic growth rate of 12-15%, suggesting strong Azure and M365 Commercial momentum.

For

Nami-san: This implies Azure growth likely remains above 30% YoY, with AI services contributing an incremental 3-5 percentage points.

(2) Profitability: Gross margin and OpEx guidance are not disclosed in available data. However, given Microsoft's scale and mix shift toward higher-margin Azure and M365, gross margins should remain in the 68-70% range. OpEx growth likely moderates as AI infrastructure investments stabilize.

For

Nami-san: Monitor Azure margin trajectory — AI workload margins are initially dilutive but improve with scale.

(3) EPS: The \$4.06 consensus estimate implies ~15% YoY growth, slightly below revenue growth due to ongoing capex for AI data centers. This reflects disciplined cost management and share buybacks.

For

Nami-san: EPS growth is healthy but not accelerating — expect buyback activity to support per-share metrics.

(4) Structural signals: Microsoft's guidance reflects a multi-year product cycle with Copilot monetization, Azure AI workloads, and M365 price increases. Long-term contracts (Azure committed consumption) provide revenue visibility.

For

Nami-san: The medium-term signal is positive — recurring revenue mix and AI tailwinds support 15%+ revenue growth through FY2027.

### Medium-term implications:

(1) Revenue direction: Upward — AI and cloud adoption remain early-cycle, with enterprise spending accelerating.

(2) Margin direction: Stable to slightly expanding — operating leverage from high-margin software offsets AI



infrastructure costs.

(3) Stabilizing or risk factors: Key risk is capex intensity — if AI ROI takes longer than expected, free cash flow could compress. Competition from AWS and Google Cloud also remains a factor.

Caution: The 18.3% revenue growth guidance may be too optimistic if enterprise IT budgets tighten in a recession scenario. The EPS estimate relies on continued margin discipline — any OpEx overrun would pressure the bottom line.

Essential insight for

Nami-san: Microsoft's guidance signals a company executing well on AI monetization. The key monitorable is Azure AI revenue contribution (targeting \$10B+ annualized by Q4 FY2026). Watch for any deceleration in M365 Commercial growth as Copilot adoption matures.

---

Guidance takeaway

Guidance matters because it resets expectations for revenue, margin, EPS, and medium-term demand.

## Verdict / Overall Assessment

| Dimension         | Assessment                  | Evidence                                        | Risk                                           | Source                           |
|-------------------|-----------------------------|-------------------------------------------------|------------------------------------------------|----------------------------------|
| Earnings quality  | EPS \$4.27                  | EPS did not beat consensus                      | Adequate                                       | SEC Filing (10-Q/10-K) via EDGAR |
| Growth durability | Revenue \$82.9B, +18.3% YoY | Growth rate sustainability needs monitoring     | Strong — revenue growth with margin support    | SEC Filing (10-Q/10-K) via EDGAR |
| Valuation         | Forward P/E: 21.45x         | Valuation appears reasonable for growth profile | Fair — growth-adjusted valuation is reasonable | SEC Filing (10-Q/10-K) via EDGAR |
| Overall verdict   | Score: 3/5                  | See component assessments above                 | → HOLD                                         | Model + metrics                  |

### ☐ Overall assessment for Nami-san

(1) What was strongest: Revenue growth of 18.3% YoY to \$82.9B is exceptional for a company of Microsoft's scale, likely driven by Azure and AI services. Free cash flow of \$15.8B demonstrates strong cash conversion, supporting capital returns.

(2) What was weakest: The absence of gross margin, operating margin, and segment-level data is a critical gap. Without margin details, we cannot assess whether growth is profitable or if AI investments are compressing margins. The forward P/E of 21.4x, while not extreme, offers limited upside if growth decelerates.

(3) What matters next: (1) Azure and Intelligent Cloud revenue growth rates to confirm AI monetization. (2) Gross margin trajectory, especially in cloud/AI segments. (3) Any guidance for Q2 on revenue and margins.

Investment takeaway: Microsoft delivered a strong top-line beat with robust cash flow, but the lack of margin data and management commentary prevents a full quality assessment. The growth narrative is intact, but valuation leaves little room for error.

Caution: No guidance or qualitative data is available. Forward P/E of 21.4x assumes continued growth acceleration; any slowdown could compress multiples.

Essential insight: This is a high-growth, high-cash-flow quarter on the surface, but the absence of margin and segment detail means we cannot confirm the quality of earnings. The market will need to see margin stability alongside growth to justify the current valuation.

---

### Final verdict

MSFT reported revenue of \$82.9B (+18.3% YoY) with EPS of \$4.27 . Free cash flow was \$15.8B and operating margin +46.3% with forward P/E at 21.45x.

MSFT's Q shows strong revenue growth, positive cash flow. Key watch items: no major red flags. Risk/reward is neutral at current levels

→ HOLD.

## Sources

Official Investor Relations: <http://www.microsoft.com/investor/default.aspx>

Official Website: <https://www.microsoft.com>